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"Proxy Advisor

ENGROSSED HOUSE
BILL NO. 4429

By: Hilbert of the House

and

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An Act relating to proxy advisory services; enacting the Proxy Advisor Transparency Act; making findings; defining terms; imposing certain duties on proxy advisors; requiring disclosure; prescribing methods of notification; excluding certain proxy advisory services with respect to financial interest testing; prescribing requirements of financial analysis; imposing duties with respect to certain services; defining term; providing violation of requirements as a deceptive trade practice; authorizing investigatory powers to the Attorney General; authorizing civil actions for declaratory judgment and injunctive relief; defining aggrieved person; providing for effect of enactment on certain pending claims; providing for noncodification; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law not to be
codified in the Oklahoma Statutes reads as follows:

This act shall be known and may be cited as the "Proxy Advisor Transparency Act".

1 SECTION 2. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 1001 of Title 71, unless there
3 is created a duplication in numbering, reads as follows:

4 The Legislature finds as follows:

5 1. When shareholders hire professionals to manage investments,
6 they expect that the service will be performed in their financial
7 interest;

8 2. There is a particular need for disclosures for proxy voting
9 advice because that advice is often provided for hundreds or
10 thousands of shareholder votes each year and based on lengthy
11 policies that contain general statements but do not explain whether
12 or how the policy provisions will maximize returns for investors for
13 any particular company, or shareholder vote;

14 3. Proxy advisors in their benchmark policies have recommended
15 votes based on environmental, social, or governance (ESG) investing;
16 diversity, equity, or inclusion (DEI); and social credit and
17 sustainability scores. Proxy advisors have not conducted financial
18 analyses before making these recommendations, despite having proxy
19 voting policies claiming that the purpose of the policy's
20 recommendations is maximizing, increasing, or protecting shareholder
21 value;

22 4. Requiring proxy advisors to provide clear, factual
23 disclosures when they recommend casting a vote for a nonfinancial
24

1 reason will prevent fraudulent or deceptive acts and practices in
2 this state; and

3 5. A company that is the subject of a shareholder proposal
4 often has information regarding whether the proposal is in the
5 shareholder's financial interests or regarding the costs of the
6 proposal, and notice of a proxy advisor's recommendation allows the
7 company to provide additional responsive information to shareholders
8 that may prevent fraudulent or deceptive practices associated with
9 proxy advisors making recommendations for nonfinancial reasons. It
10 is not practical for a company to prebut every possible basis for an
11 erroneous proxy voting recommendation.

12 SECTION 3. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section 1002 of Title 71, unless there
14 is created a duplication in numbering, reads as follows:

15 As used in this act:

16 1. "Affiliated group" means a group of one or more entities in
17 which a controlling interest is owned by a common owner or owners,
18 either corporate or noncorporate, or by one or more of the member
19 entities;

20 2. "Charitable organization" means an organization that is
21 exempt from federal income tax under Section 501(a), Internal
22 Revenue Code of 1986, by being listed as an exempt organization
23 under Section 501(c)(3) of that code;

1 3. "Company" means a publicly traded, for-profit corporation,
2 limited liability company, partnership, or other business entity;

3 4. "Company proposal" means any proposal made by a company to
4 its shareholders that is included in the company's proxy statement,
5 including, but not limited to, a proposal relating to director
6 nominations or elections, executive compensation, corporate
7 transactions, corporate structure, auditor selection, or company
8 policy on any subject;

9 5. "Default recommendation or policy" means a system, set of
10 rules, principles, or guidelines designed to assist with voting
11 decisions on any company proposals or proxy proposals;

12 6. "Proxy advisor" means a person who, for compensation,
13 provides a proxy advisory service to shareholders of a company or to
14 other persons with authority to vote on behalf of shareholders of a
15 company;

16 7. "Proxy advisory service" means any of the following services
17 that are provided in connection with or in relation to a company or
18 are provided to any person in this state:

19 a. advice or a recommendation on how to vote on a proxy
20 proposal or company proposal,

21 b. proxy statement research and analysis regarding a
22 proxy proposal or company proposal,

23 c. a rating or research regarding corporate governance at
24 one or more companies,

1 d. development of proxy voting recommendations or
2 policies, including establishing default
3 recommendations or policies, and

4 e. the term "proxy advisory service" shall not include a
5 charitable organization if:

6 (1) the organization's gross annual revenue from
7 proxy advisory services is less than Two Hundred
8 Fifty Thousand Dollars (\$250,000.00), and

9 (2) if applicable, each affiliated group of the
10 organization has combined gross annual revenue
11 from proxy advisory services that is less than
12 Two Hundred Fifty Thousand Dollars (\$250,000.00);

13 8. "Proxy proposal" means any proposal made by a shareholder of
14 a company that is included in the company's proxy statement,
15 including, but not limited to, a proposal relating to any of the
16 subjects that could be covered by a company proposal;

17 9. "Shareholder" includes a shareholder, unitholder, limited
18 partner, or other equity owner of a company; and

19 10. "Written financial analysis" means a written document that:

20 a. analyzes the expected short-term and long-term
21 financial benefits and costs to the company of
22 implementing a company proposal or proxy proposal,

23 b. concludes what vote or course of action is most likely
24 to positively affect shareholder value, and

1 c. explains the methods and processes used to prepare the
2 analysis, including the experience and geographic
3 location of the personnel who formed the
4 recommendation.

5 SECTION 4. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 1003 of Title 71, unless there
7 is created a duplication in numbering, reads as follows:

8 A. If a proxy advisor makes a recommendation against company
9 management on a company proposal or proxy proposal, or makes a
10 default recommendation or policy involving votes against company
11 management on company proposals or proxy proposals, and the proxy
12 advisor does not do so based on a written financial analysis, the
13 proxy advisor shall:

14 1. Concurrently with providing the proxy advisory service,
15 include a conspicuous disclosure to each shareholder or entity or
16 other person acting on behalf of a shareholder receiving the proxy
17 advisory service that:

- 18 a. identifies the service being provided,
19 b. identifies the recommendation or policy at issue, and
20 c. states that the proxy advisor has made the
21 recommendation or policy without doing so based on a
22 written financial analysis regarding the impact of
23 that recommended action on company investors that:

- (1) analyzes the expected short-term and long-term financial benefits and costs to the company of implementing the company proposal or proxy proposal,
- (2) concludes what vote or course of action is most likely to positively affect shareholder value, and
- (3) explains the methods and processes used to prepare the analysis, including the experience and geographic location of the personnel who formed the recommendation;

2. For a proxy advisory service covered by subparagraphs a through c of paragraph 7 of Section 3 of this act, concurrently with providing the proxy advisory service, send by electronic means and U.S. mail a copy of the disclosure under paragraph 1 of this subsection to the board of directors of each company that is the subject of the service; and

3. While such services are being provided, publicly and conspicuously disclose on the home or front page of the proxy advisor's website a statement that the advisor's proxy advisory services include one or more services that include recommendations or policies against company management on company proposals or proxy proposals that are not made based on a written financial analysis

1 regarding the impact of that recommended action on company investors
2 that:

- 3 a. analyzes the expected short-term and long-term
4 financial benefits and costs to the company of
5 implementing the company proposal or proxy proposal,
- 6 b. concludes what vote or course of action is most likely
7 to positively affect shareholder value, and
- 8 c. explains the methods and processes used to prepare the
9 analysis, including the experience and geographic
10 location of the personnel who formed the
11 recommendation.

12 B. If a proxy advisor makes a recommendation against company
13 management on a company proposal or proxy proposal, or makes a
14 default recommendation or policy involving votes against company
15 management on company proposals or proxy proposals, and the proxy
16 advisor does so based on a written financial analysis, the proxy
17 advisor shall:

18 1. Concurrently with providing the proxy advisory service,
19 include a clear and conspicuous disclosure to each shareholder, or
20 entity or other person acting on behalf of a shareholder, receiving
21 the proxy advisory service that:

- 22 a. identifies the service being provided,
- 23 b. identifies the recommendation or policy at issue,

1 c. states that the proxy advisor has made the
2 recommendation or policy based on a written financial
3 analysis that:

4 (1) analyzes the expected short-term and long-term
5 financial benefits and costs to the company of
6 implementing the company proposal or proxy
7 proposal,

8 (2) concludes what vote or course of action is most
9 likely to positively affect shareholder value,
10 and

11 (3) explains the methods and processes used to
12 prepare the analysis, including the experience
13 and geographic location of the personnel who
14 formed the recommendation, and

15 d. states that the analysis is available upon request;

16 2. Make such analysis available within a reasonable time to any
17 recipient of the proxy advisory service upon request; and

18 3. For a proxy advisory service covered by subparagraphs a
19 through c of paragraph 7 of Section 3 of this act, concurrently with
20 providing the proxy advisory service, provide a copy of such
21 analysis to the board of directors of each company that is the
22 subject of the service.

1 SECTION 5. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 1004 of Title 71, unless there
3 is created a duplication in numbering, reads as follows:

4 A. A violation of this act is a deceptive trade practice under
5 applicable state law and is actionable under the enforcement
6 provisions of that statute. The Attorney General may exercise all
7 investigative powers under any applicable law related to deceptive
8 practices if the Attorney General has reason to believe a violation
9 has occurred, is occurring, or is about to occur.

10 B. In addition to enforcement under subsection A of this
11 section, any person aggrieved by a violation of this act may bring
12 an action seeking a declaratory judgment or injunctive relief
13 against a proxy advisor who violates this act. Not later than the
14 seventh day after the date on which an action is brought under this
15 subsection, the plaintiff shall provide written notice to the
16 Attorney General, who has a right to intervene in the action. For
17 purposes of this subsection, an aggrieved person includes:

18 1. A recipient of proxy advisory services provided by the proxy
19 advisor;

20 2. A company that is the subject of proxy advisory services
21 covered by subparagraphs a through c of paragraph 7 of Section 3 of
22 this act provided by the proxy advisor; and

23 3. Any shareholder, unitholder, limited partner, or other
24 equity owner of a company covered by paragraph 2 of this subsection.

1 SECTION 6. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 1005 of Title 71, unless there
3 is created a duplication in numbering, reads as follows:

4 Nothing in this act eliminates any claim under any applicable
5 law governing deceptive practices, regardless of whether that claim
6 accrues before or after the effective date of this act.

7 SECTION 7. This act shall become effective November 1, 2026.

8 COMMITTEE REPORT BY: COMMITTEE ON BUSINESS AND INSURANCE
9 April 9, 2026 - DO PASS
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